

have made it difficult in the past for the newcomer with an exciting product to establish real leadership in most subdivisions of the electronics industry, although a few companies have done so, it is likely to be still more difficult in the future. This is because the semiconductor is becoming a larger and larger percentage of both the total content and the total technical know-how of more and more products. The leading companies making these devices also now have at least as much in-house knowledge as the top old-line computer and instrument companies if they elect to compete in many new product areas that are largely electronic. A case in point is the dramatic success of Texas Instruments in the sensationally growing area of hand-held calculators and the difficulties of some of the early pioneers in this field.

However, notice how the balance changes if, instead of just a technology based on electronic hardware and software, producing the product calls for these skills to be combined with some quite different ones such as nucleonics or some highly specialized area of chemistry. The large electronic companies simply do not have the in-house skills to enter these interdisciplinary technologies. This affords the best-run innovators a far better opportunity to build themselves into the type of leadership position in their particular product line that carries with it the broad profit margin that tends to continue as long as managerial competence does not weaken. I believe that some of these multidisciplinary technological companies, in not all of which is electronics a significant factor, have recently proven some of the finest opportunities for truly farsighted investing. I am inclined to think that more such opportunities will occur in the future. Thus, for example, I suspect that some-time in the future new leading companies will arise through products or processes that utilize some of these other disciplines combined with biology, although so far I have not seen any company in this area that so qualifies. This is not to say that none exists.

Technological development and scale are not the only aspects of a company's activities in which unusual circumstances may raise opportunities for sustained high profit margins. In certain circumstances these can also occur in the area of marketing or sales. An example is a company that has created in its customers the habit of almost automatically specifying its products for reorder in a way that makes it rather uneconomical for a competitor to attempt to displace them. Two sets of conditions are necessary for this to happen. First, the company must build up a reputation